

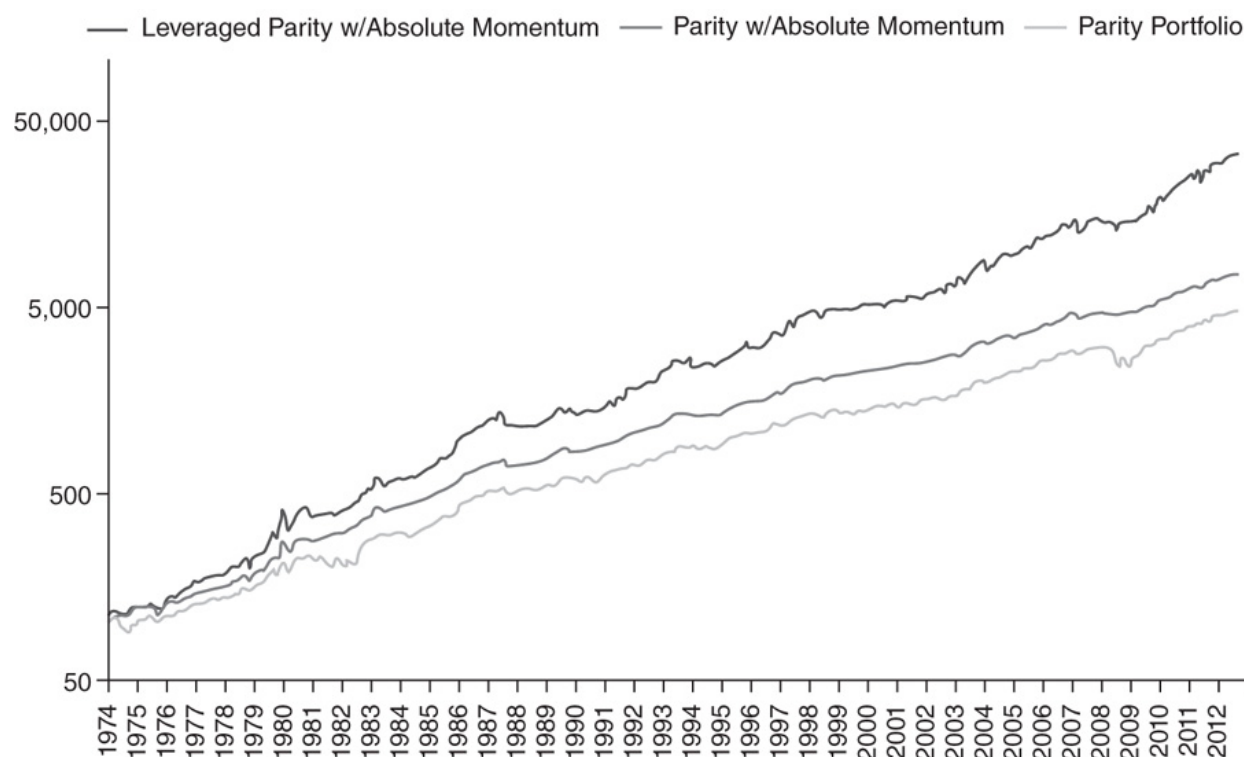


Figure B.24 Parity Portfolios, 1974–2012

Risk in a levered portfolio has many facets, such as fat tail, illiquidity, counterparty, basis, and converging correlation risk. Since most risk parity programs have well over 50% of their assets in fixed-income securities, their greatest future risk may be that of rising interest rates. An increase in nominal interest rates back to a historically normal level of 6% could lead to a 50% drop in the price of long bonds. Parity with 12-month absolute momentum, as presented here, is more adaptive than normal risk parity and has the ability to exit fixed-income investments during periods of rising interest rates due to its trend-following nature. Absolute momentum is, in general, a valuable adjunct to the use of leverage.

FACTOR PRICING MODELS

Table B.9 shows our 12-month absolute momentum parity portfolio regressed against the U.S. stock market using the single-factor capital asset pricing model (CAPM), as well as the three-factor Fama/French model